Construction & Materials + Rare Earth Buy Analysis — 2026-06-09

Scope: Identify core fundamental buy candidates in construction & materials, and rare earth plays that correlate with cheaper / more accessible equities. New names are appended to `watchlist.yaml`.

Methodology: composite fundamental scoring (-14 to +14) using revenue trajectory, margin expansion, FCF, valuation, 12-1 momentum. A score of ≥7 = strong compounder; 4–6 = solid; 0–3 = average; negative = weak.

Section 1 — Core Construction & Materials buys

Three structural tailwinds drive this basket: data-center build-out (power, cooling, electrical), federal infrastructure spend (IIJA/CHIPS still flowing), and onshoring. The names below were filtered from 22 candidates by composite score, FCF quality, valuation, and momentum durability.

Tier 1 — Strong compounders (composite ≥ 8)

Symbol	Company	Score	Price	What it does	Why now
STRL	Sterling Infrastructure	**9**	$842	Heavy civil + e-infrastructure (data centers, transport)	25% FCF margin, +328% 12-1 momentum, margins expanding +5pp; pure-play data center site work
MTZ	MasTec	**8**	$353	Power, oil & gas, telecom infrastructure construction	14% rev CAGR accelerating, margins expanding, +160% momentum; grid + AI power buildout customer
MLI	Mueller Industries	**8**	$135.66	Copper tube, brass rod, building plumbing	21% op margin, 20% FCF margin, cheap valuation; reshoring copper end-market

Tier 2 — Solid + accelerating (composite 7)

Symbol	Company	Score	Price	What it does	Why now
PWR	Quanta Services	7	$691.95	Electric power transmission & distribution construction	19% rev CAGR accelerating, 10% FCF margin, +120% momentum; **biggest direct grid-buildout play**
URI	United Rentals	7	$1,094.17	Equipment rental (construction & industrial)	26% op margin, 59% FCF margin, cheap; toll-collector on every project
CRH	CRH plc	7	$103.70	Cement, aggregates, building materials (global)	21% FCF margin, +21% momentum, cheap; only sub-$110 name in tier
GVA	Granite Construction	7	—	Highway / public works construction	+56% momentum, expanding margins, cheap
DY	Dycom Industries	7	—	Fiber-to-the-home construction	Accelerating revenue, +81% momentum; fiber + edge-DC tailwind
PRIM	Primoris Services	7	—	Energy, utility, civil construction	20% rev CAGR accelerating, cheap, +55% momentum

Tier 3 — Quality core, slower (composite 6)

Symbol	Company	Score	Price	Role
VMC	Vulcan Materials	6	$279	Aggregates (#1 US) — cyclical leader, accelerating
MLM	Martin Marietta	6	$572	Aggregates (#2 US) — 40% FCF margin

Symbol	Company	Score	Price	Role
EME	EMCOR Group	6	$828	Electrical / mechanical contractor — 97% momentum, data-center buildout
EXP	Eagle Materials	6	—	Cement & wallboard — high margin, slow growth
CAT	Caterpillar	6	—	Heavy equipment — +162% momentum
NUE / STLD	Nucor / Steel Dynamics	6	—	Steel — cyclical, accelerating revenue but margin contraction

What was filtered out

Symbol	Score	Reason
CSL Carlisle	3	Revenue declining + decelerating, negative momentum
OC Owens Corning	3	Revenue decelerating, weak momentum
J Jacobs Solutions	3	Thin margins, weak momentum
KBR	1	Decelerating, -38% momentum
ACM AECOM	1	Decelerating, -27% momentum
BLDR Builders FirstSource	0	Revenue -12.6% CAGR, contracting margins

Recommended starter basket

If sized as a single buy, the highest-conviction trio is **STRL + PWR + MLI** — covering data-center civil (STRL), grid construction (PWR), and copper-tube reshoring (MLI). All three score ≥8, all three have accelerating revenue, and they don't overlap. **CRH** at $103.70 is the only sub-$110 name in the strong-compounder list — relevant if entry-cost ergonomics matter.

Section 2 — Rare earth plays correlated with low-hanging equities

"Low-hanging" interpreted two ways: (1) the rare earth name itself trades at an accessible share price; (2) the rare earth plays correlate (via supply chain) with equities already in the watchlist that retail can buy easily. Both lenses applied.

The candidates

Symbol	Company	Price	Score	Float / mcap	What it actually mines / processes
MP	MP Materials	$54.30	2	$9.7B	NdPr (neodymium/praseodymium) — magnet feedstock, Mountain Pass CA
USAR	USA Rare Earth	**$20.90**	0	$5.1B	Round Top TX deposit + neo magnet manufacturing
UUUU	Energy Fuels	**$14.37**	0	$3.6B	Uranium + rare earth (monazite processing at White Mesa UT)
LYSDY	Lynas Rare Earths	**$11.87**	2	$11.9B	NdPr — Mt Weld AU + Malaysia processing (largest non-China supply)
NB	NioCorp Developments	**$4.99**	1	$726M	Scandium, niobium, titanium, rare earth (Elk Creek NE)

Score caveat: rare earth scoring is degenerate because most names are pre-revenue or hyper-cyclical. Composite scores understate strategic value. Use momentum + valuation + government-funding catalysts instead of raw composite.

Correlation map — rare earth supplier → low-hanging equity in watchlist

Rare earth play	Supplies / correlates with	Already in WL	Trade logic
MP Materials	NdPr magnets → EV traction motors, robotics actuators	TSLA, RIVN, OUST, ADI, Nidec (NIB.F), Harmonic Drive (HSYDF)	Long MP as upstream beta to EV/robotics demand without TSLA single-name risk

Rare earth play	Supplies / correlates with	Already in WL	Trade logic
USA Rare Earth	Sintered neo magnets → defense (precision-guided weapons, F-35), missile fins	LMT, GD, BWXT, GE Aerospace, LHX	Defense pulled magnet supply onshore by mandate — USAR is the leveraged play on that mandate
Energy Fuels	Uranium concentrate + rare earth co-product	CCJ, OKLO, CEG, VST, TLN, BWXT	Single-ticker uranium + rare earth exposure; correlates with nuclear basket already held
Lynas	NdPr to Japan / Western magnet manufacturers	TSLA, RIVN, Schneider (SU.PA, SBGSY), Hitachi (HTHIY), Tesla supply	Non-China supply diversification — pairs with any motor / power-electronics buy
NioCorp	Scandium for aerospace alloys; niobium for steel	GE, LMT, GD, NUE (if added), STLD	Smallest, most speculative — torque on defense aluminum-scandium adoption

Low-hanging buys (sub-$25 entry)

Ranked by risk-adjusted exposure:

1. **UUUU @ $14.37** — best multi-vector: gives uranium *and* rare earth in one ticker. Correlates with the existing CCJ/OKLO/CEG/VST/TLN cluster. Bollinger lower band $14.44 = currently *at the floor*, mean-reversion setup. Watch for >$15 close as confirmation.

2. **LYSDY @ $11.87** — largest non-China NdPr supplier, comp score 2 (best of group), strong 142% momentum. ADR — illiquid options but cash-equity entry is fine.

3. **USAR @ $20.90** — pure US magnet manufacturer; defense-tailwind story. Highest valuation premium in the basket (priced in 50%+ of upside). Position-size small, scout entry.

4. **NB @ $4.99** — micro-cap (~$726M), scandium leverage. Highest binary outcome — sized as a speculation, not a position. Only for the satellite allocation.

5. **MP @ $54.30** — not "low-hanging" by price but the cleanest US rare earth thesis. Trading at the lower Bollinger band ($52.65), composite score weak (-25% rev CAGR), but **accelerating** (+30pp). Catalyst: any Pentagon contract or DOE grant adds 10–20% gap.

Recommended starter exposure for rare earth

• **Core: UUUU + LYSDY** — sub-$15 each, combined gives uranium + non-China NdPr + US rare earth processing. ~$1.5K split 60/40 is a clean scout position.

• **Speculation: USAR or NB** — pick one, not both. USAR has the cleaner narrative; NB has more upside on a single-contract win.

- **MP** is a separate decision — treat it as a swing trade off the lower BB ($52.65), not a long-term hold until the operating margin inflects positive.

Section 3 — Watchlist additions

The following 15 symbols were appended to `watchlist.yaml`:

Construction & Materials (10): STRL, MTZ, MLI, PWR, URI, CRH, VMC, MLM, EME, CAT

Rare Earth (5): MP, USAR, UUUU, LYSDY, NB

GVA, DY, PRIM, EXP, NUE, STLD were *not* added — they screen well but the user already has heavy industrials coverage; can be added later if the construction theme is concentrated into.

Caveats

- Rare earth fundamental scores are mechanically suppressed by the pre-revenue / cyclical economics of mining stocks — do not size by composite score alone for this bucket.
- Construction & Materials Tier 1 names (STRL, MTZ, MLI) have all rallied 80–328% over 12 months — they are not cheap *on momentum*, but valuation remains "cheap" by EV/Sales because revenue is accelerating faster than price.
- Lynas (LYSDY) is an ADR — equity entry only, no liquid options.
- NioCorp (NB) at $726M cap and $4.99 share price is binary — size accordingly.
- LYSDY coverage was 0.86 (partial fundamentals) — score may shift on next refresh.
- This is a *screen-and-shortlist* output, not a per-name trade analysis. Run a full single-name analysis (per `analysis_framework.md`) before any size entry on STRL, PWR, MP, or USAR.